**BEFORE THE PUBLIC UTILITIES COMMISSION**
**OF THE STATE OF CALIFORNIA**

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# REPLY COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON ADMINISTRATIVE LAW JUDGE'S RULING CLARIFYING NEXT STEPS FOR FLEXIBLE SERVICE CONNECTIONS, MODIFYING PHASE 2 SCHEDULE, AND REQUESTING PARTY COMMENTS

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle-Grid Integration Council ("VGIC") hereby submits these reply comments to the *Administrative Law Judge's Ruling Clarifying Next Steps for Flexible Service Connections, Modifying Phase 2 Schedule, and Requesting Party Comments* ("Ruling") filed by Administrative Law Judge ("ALJ") Justin Regnier on February 7, 2025, *Email Ruling Correcting Error in the February 7, 2025, Administrative Law Judge's Ruling Re: Filing Date For Reply Comments* filed by ALJ Carolyn Sisto and ALJ Justin Regnier on February 10, 2025, and *E-Mail Ruling Granting Schedule Amendment* filed by ALJ Justin Regnier on February 20, 2025.

## I. OPENING COMMENTS REVEAL A SIGNIFICANT DIFFERENCE IN THE CURRENT IMPLEMENTATION AND FUTURE VISION OF FLEXIBLE SERVICE CONNECTION BETWEEN PG&E AND SCE.

Opening comments, namely from Pacific Gas and Electric ("PG&E") and Southern California Edison ("SCE") reveal disjointed approaches to flexible service connection ("FSC"). While VGIC has been able to gain a high-level understanding of PG&E and SCE's pilots through anecdotal evidence gathered from its members, conversations with PG&E and SCE staff, and the utilities' July 8, 2024 filings in R.21-06-017, VGIC is struck by the different interpretations the two utilities employ in opening comments. Specifically, PG&E notes that UL 3141-certified equipment is not required to implement safe FSC, while SCE states it is absolutely required. Based on this difference, VGIC posits PG&E may be operating with more caution, offering customers load limits that yield a larger "buffer" for its distribution grid. This would preserve more headroom on its distribution assets relative to SCE. In this way, it is possible that SCE is permitting far more FSC *per site/project* than PG&E, and, as a result, PG&E ratepayers may be missing out on opportunities to stave off unnecessary costs and benefit from transportation electrification per SB 350 and other state policy goals.

On the other hand, given the requirement for UL 3141, SCE may be enabling fewer FSC opportunities than PG&E *overall* in the near-term, as UL 3141 is a new standard that site developers and technology providers may not yet be capable of implementing at scale. In contrast, PG&E's ability to advance FSC sites that do not utilize UL 3141 may be enabling more electrification and distribution deferral/avoidance *overall*. This could be a contributing factor to the disparate FSC site counts presented by each utility: over a hundred for PG&E and eleven for SCE.[1]

Yet another potential explanation for the vast difference in FSC site counts is that PG&E's service territory may be experiencing significantly more EV service requests at locations with grid constraints, whereas SCE may have EV charging site requests at more areas with more available capacity.

Ultimately, VGIC concedes that no party other than the utilities possesses the visibility to assess which of these cases is true. The inherent information asymmetry (i.e., the absence of real-time, high-accuracy integration capacity analysis (ICA) data portals) surrounding this issue hinders

[1] PG&E Opening Comments at 4 and SCE Opening Comments at 5.

parties' ability to interpret the relative effectiveness of each utility's approach. With this in mind, and considering the imperative to accelerate energization timelines and reduce ratepayer risk associated with the up to $50 billion in estimated distribution system upgrade costs,[2] VGIC urges the Commission to consider the utilities' approaches with the express aim of ensuring that the most fundamental elements of flexible service connection are consistent across these two major investor-owned utilities.

In the below reply comments, VGIC offers recommendations to better align each approach and, critically, to ensure clear reporting on the use of FSC within each utility service territory. In considering these and other party recommendations, we respectfully caution the Commission against overlooking the importance of establishing consistency in favor of addressing the issue in a timely manner. In other words, the Commission should balance the urgent need to establish FSC options with the criticality of ensuring these options are scalable and consistent across utilities.

## II. RESPONSE TO COMMENTS AIMING TO CREATE CONSISTENCY ACROSS FLEXIBLE SERVICE CONNECTION OFFERINGS PROVIDED BY EACH UTILITY.

VGIC agrees with those parties suggesting that FSC offerings and enrollment processes be made as consistent as possible across IOU service territories. While VGIC acknowledges that the IOUs are at different stages of FSC development and deployment, there is significant value in establishing a uniform foundation for FSC implementation statewide.

VGIC understands that the current status of FSC offerings are:

- PG&E:

[2] CPUC / Kevala Energy Impact Study Phase 1.

- Offering static, firm Limited Load Profiles ("LLPs") and FSC via Load Limit Letters. These typically use a 4-value LLP with two seasons and two time periods - restricted and unrestricted.
- PG&E also offers a dynamic, non-firm LLP layered on top of static limits through its Flex Connect pilot, which provides hourly LLPs communicated daily.

- SCE:
  - Offering static, firm LLPs and FSC through the Localized Autonomous LCMS pilot, typically a 6-value LLP with three seasons and two time periods - restricted and unrestricted.
  - SCE is working to offer a dynamic, non-firm LLP through a Communications-Based LCMS, but still requires additional DERMS capabilities to be implemented before rolling this out to customers.
- SDG&E: Does not offer any FSCs at this time.

VGIC believes that it is appropriate for the utilities to move forward with FSC implementation at different paces if they have different technical capabilities. For example, PG&E should continue to move forward with the implementation of dynamic LLPs through its Flex Connect pilot, even if the other IOUs do not currently have the technical capability to offer this.

That said, VGIC strongly urges the Commission and IOUs to coordinate on standardizing FSC offerings wherever feasible. At a minimum, the following elements should be aligned:

- **Universal Static, Firm LLP Offerings:** All IOUs should offer a basic, static, firm LLP option with a simple value structure. PG&E and SCE already provide this, and a comparable offering should be introduced in SDG&E territory.

- **Customer Agreements:** Forms and participation agreements for FSCs should be consistent across utilities. SCE's Form 16-332 provides a template, and VGIC assumes PG&E has a similar agreement associated with its Load Limit Letters and Flex Connect pilot. Standardizing these forms will improve transparency and facilitate participation for customers operating in multiple IOU territories.
- **Terms for Modifying Firm Limits:** SCE's current LCMS pilot allows the utility to modify firm limits at its sole discretion, and it is unclear if PG&E has similar terms in its FSC agreements or Load Limit Letters. This practice raises reliability concerns for customers, especially EV fleet operators, who depend on assured import capabilities. VGIC agrees with IREC that the ability to modify static, firm LLPs should be limited to clearly defined, transparent circumstances.[3] These parameters should be included in FSC agreements and standardized across all IOUs.
- **Capacity Allocation Methodology Across Multiple Customers:** While initial implementations from both PG&E and SCE have applied to a single customer on a given circuit, VGIC recommends the Commission approve a consistent methodology across all investor-owned utilities for allocating available electrical capacity on a circuit across multiple customers. Some example methodologies include "first come, first served" and clustering sites based on the timing of the load request. Methodologies could also be informed by those used in other jurisdictions and for other technologies, for example, distributed generation.
- **Utility Reporting Requirements:** D.24-09-020 requires utilities to answer the following questions, on a per site/project basis: "If full energization of the applicant's site was not

[3] IREC Opening Comments at 5.

feasible in a timely manner, explain whether any load management or flexible service options were installed or utilized to provide the applicant with timely service" and "the amount of load (kW) that was provided to the applicant using flexible service options, the remaining (or total) load requested by the applicant, and an estimate for when full service will be provided to the applicant." While this reporting will be informative for parties to understand the effectiveness of FSC and develop policies accordingly, VGIC details in Section III below additional reporting elements that should be applied consistently across all three large investor-owned utilities.

As SCE and SDG&E move toward offering dynamic FSCs and non-firm import limits, the Commission and IOUs should also promote alignment in dynamic FSC structures, communications protocols, and enrollment processes.

## III. ADDITIONAL REPORTING IS NEEDED ON FLEXIBLE SERVICE CONNECTIONS.

VGIC commends the Commission for establishing reporting requirements related to FSC in D.24-09-020. Specifically, questions #25 and #26 of the *Energization Target Reporting Template Requirements* seek to understand, on a per-site/project basis, whether any load management or FSC was utilized and the amount of energized load (kW) relative to requested load. While the IOUs' inaugural *energization target reports* have not yet been released, VGIC is aware of recent updates in a handful of one-off documents, like the Bridging Strategies Compliance Reports and PG&E's OpFlex Pilot Report.

To improve transparency and inform future program design, VGIC reiterates its recommendation that the Commission require additional reporting on FSC participation, for example, by amending the *Energization Target Reporting Template Requirements* instituted in D.24-09-020. Key per-site/project data points that are absent include:

- Whether the site has also filed a Rule 21 interconnection application request (e.g., for energy storage systems) and, if so, the anonymized Rule 21 project ID # that corresponds to the quarterly Rule 21 report required in D.20-09-035 Ordering Paragraph ("OP") 22.
- Whether FSC was:
    - Proposed by the utility (i.e., following utility assessment / TE advisory services consultation)
    - Accepted by the customer (i.e., following utility recommendation)
    - Proposed by the customer (i.e., following customer/vendor assessment of Integration Capacity Analysis or "ICA")
    - Accepted by the utility (i.e., following customer request)
- For sites that move forward with FSC:
    - The type of FSC enabling technology used (e.g., power control systems, battery energy storage systems, customer generation, traditional controls like protective relays, etc.)
    - Whether static or dynamic FSC was implemented
        - If static FSC was implemented, the type of FSC schedule implemented (e.g., single-value, 4-/6-value, 288-value LLP etc.)
    - How much leftover headroom capacity is available on the circuit (kW)
        - VGIC expects many near-term, bridge FSCs to use all available capacity, but in cases where FSCs do not use all available capacity,

the IOUs should report on how much capacity is left over for other potential customers.

While VGIC recommends this reporting be integrated into the required energization timeline reporting, other venues for this reporting, if the Commission prefers, could include the quarterly Rule 21 interconnection timeline reports required by D.20-09-035 Ordering Paragraph ("OP") 22, the semi-annual reports on Vehicle-Grid Integration Strategies per D.20-12-029, or the annual Electric Vehicle Charging Infrastructure Cost Report. VGIC emphasizes that this recommendation is not intended to add unnecessary reporting burdens, but rather to ensure the availability of essential information that will guide effective FSC policy development moving forward. For example, this data can help answer the following questions:

- How many customers are utilities approaching with opportunistic FSC options?
- How many customers elect FSC pathways, and which ones are most effective in accelerating energization timelines? (e.g., static single-value, 4-/6-value, 288-value limits? Dynamic load control?)
- How many customers elect FSC enabling technologies, and which ones are most effective in accelerating energization timelines? (e.g., power control systems, protective relays, etc.)?
- What types of FSC pathways and technologies are most common?
- **How does the customer election of flexible service pathways and technologies impact energization timelines? How does this differ by FSC pathway and enabling technology type?**

## IV. CONCLUSION.

VGIC appreciates the opportunity to provide these reply comments on the Ruling. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

*/s/ Zach Woogen*
Zach Woogen
Executive Director
VEHICLE-GRID INTEGRATION COUNCIL

Date: March 27, 2025